

and "everybody wants inside information." Most frightening to me was his "bigger fool theory."

"That's what it's come to," my source said. "People buy stocks not because they believe in them but because they think some bigger fool will pay more than they did for them. It used to be that the bigger fool was the public, but now it's the portfolio managers themselves. With institutions controlling the markets, who is going to sell to whom? The big institutions are their own bigger fool."

I tried to nod my head as knowingly as I could, while keeping my ears open for any bit of extra news on which I could base a short-term investment. The only useful thing I heard came in a phone call the *éminence grise* got from a friend who recommended Centronics Data Computer. I didn't want to buy Centronics Data Computer options, since I owned a Centronics printer and it didn't work very well.

After this depressing discussion, I told my new acquaintance I'd like to meet some arbitrageurs, and he took me to the room where program traders worked. These were people who bought baskets of stocks and sold the corresponding stock-index futures, or bought stock-index futures and sold baskets of stocks, exploiting the price differences just as Mr. Ritchey did with bonds and other commodities. Millions of dollars was poured into program trading, and computers made the decisions. Since I didn't have millions of dollars, program trading was only of academic interest, and I informed my guide I preferred to visit "risk arbitrageurs" who invest in the takeover situations.

Eventually, I reached the head of the risk arbitrage department, a man I'll call Orton. I found Orton to be nervously brilliant, like something out of Yiddish vaudeville. He told me he was a former floor trader who'd decided "the $\frac{1}{8}$ s and the $\frac{1}{4}$ s don't mean anything anymore."

This meant that to him, the small bits of profit were no longer exciting, which on Wall Street leads not to retirement but to a promotion. Orton was elevated to manager of the \$400-million risk arbitrage portfolio at Z. B. Troutman.

As Orton escorted me into the trading area, I noticed a British